



NEED TO KNOW

- **Face value** The initial price at which the bond was issued.
- **Market or par value** The price at which a bond is traded.
- **Coupon** The amount of interest paid to bond investors.
- **Yield** A general term that relates to the return on the capital invested in a bond.
- **Savings bonds** Cash deposits on which a regular interest rate is paid.
- **Securities** Financial instruments, such as bonds, that can be traded.
- **Junk bonds** Bonds of highly risky companies.
- **Default** When a company fails to honor a repayment on a bond that it has sold to an investor.

16.5%
highest ever bond
rate offered by
US banks due to
high interest rates
in the 1980s

